YEAR 11 ECONOMICS · PRELIMINARY COURSE

EXAM REVISION · TERM 3, 2026

The Australian economy, right now

Ten indicators, each with the latest figure and the one before it — so you can quote a number, say which way it is moving, and explain why. Every figure is the most recent official release as at 2 September 2026.

ECONOMIC GROWTH 01
0.4%
June qtr 2026 · was 0.3%

INFLATION HEADLINE 02
3.5%
yr to July 2026 · was 3.8%

INFLATION UNDERLYING 03
3.6%
trimmed mean · was 3.6%

UNEMPLOYMENT 04
4.5%
July 2026 · was 4.4%

UNDEREMPLOYMENT 05
6.4%
July 2026 · was 6.4%

PARTICIPATION RATE 06
66.9%
July 2026 · was 67.0%

CASH RATE 07
4.35%
since 5 May 2026 · was 4.10%

MINIMUM WAGE 08
26.44/hr
from 1 July 2026 · was $24.95

HOUSEHOLD SAVING 09
6.5%
June qtr 2026 · was 6.4%

BUDGET BALANCE 10
−1.0% GDP
2026–27 · −$31.5b deficit

GROWTH IS SOFT

The economy is still expanding, but slowly — 0.4% in the June quarter and 2.1% over the year. Output per person barely moved. This is an economy growing **below trend**.

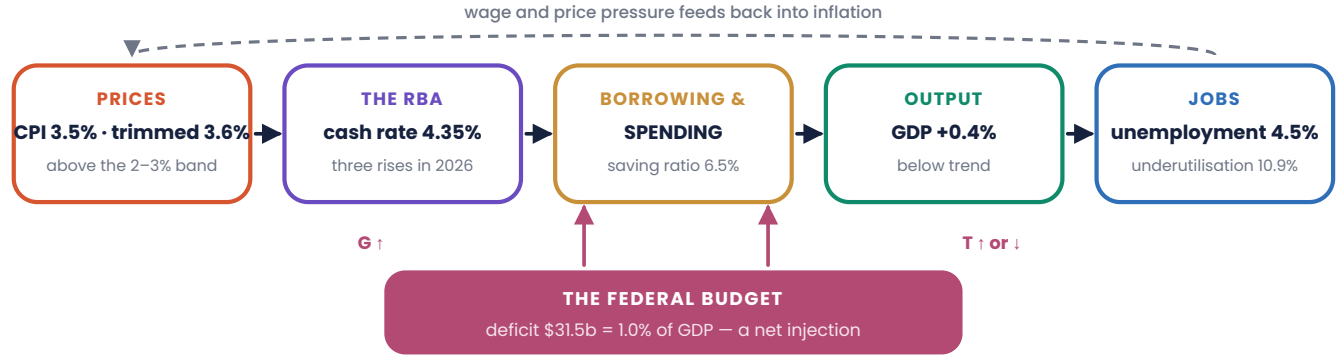
PRICES ARE THE PROBLEM

Headline inflation is easing (3.5%) but underlying inflation is stuck at 3.6% — both **above the RBA's 2–3% target band**. The RBA does not expect inflation back inside the band until late 2027.

POLICY IS TIGHT

Three rate rises in 2026 took the cash rate from 3.60% to **4.35%**. Monetary policy is now **contractionary**, while the Budget runs a small deficit of 1.0% of GDP.

HOW THE TEN INDICATORS CONNECT



WHAT TO WATCH NEXT — THESE FIGURES WILL MOVE BEFORE YOUR EXAM

LABOUR FORCE, AUGUST
ABS · mid-September. Watch whether unemployment holds at 4.5%.

MONTHLY CPI, AUGUST
ABS · late September. The trimmed mean matters more than the headline.

RBA RATE DECISION
Late September. On hold at 4.35% unless inflation surprises.

FINAL BUDGET OUTCOME
Treasury · late September. Turns the 2025–26 estimate into an actual.

NATIONAL ACCOUNTS
ABS · early December, for the September quarter.

HOW TO USE THIS BOOKLET

1. **Learn the direction, not just the number.** "Unemployment is 4.5%, *up* from 4.4% in June" earns more than "unemployment is 4.5%".
2. **Two or three accurate statistics beat ten vague ones.** Pick one indicator per body paragraph and use it as evidence.
3. **Connect the indicators** — the loop above is worth marks in almost any extended response.
4. **Watch the release dates.** Labour force and the CPI come out monthly, the national accounts quarterly. Figures marked (*estimate*) are Budget forecasts, not outcomes.

INDICATOR ONE

01 Economic growth (GDP)

INTRODUCTION TO ECONOMICS

GDP GROWTH, QUARTERLY

0.4%

June quarter 2026, seasonally adjusted, chain volume

Previous quarter (March 2026) **0.3%**

▲ up 0.1 pts

GDP GROWTH, THROUGH THE YEAR

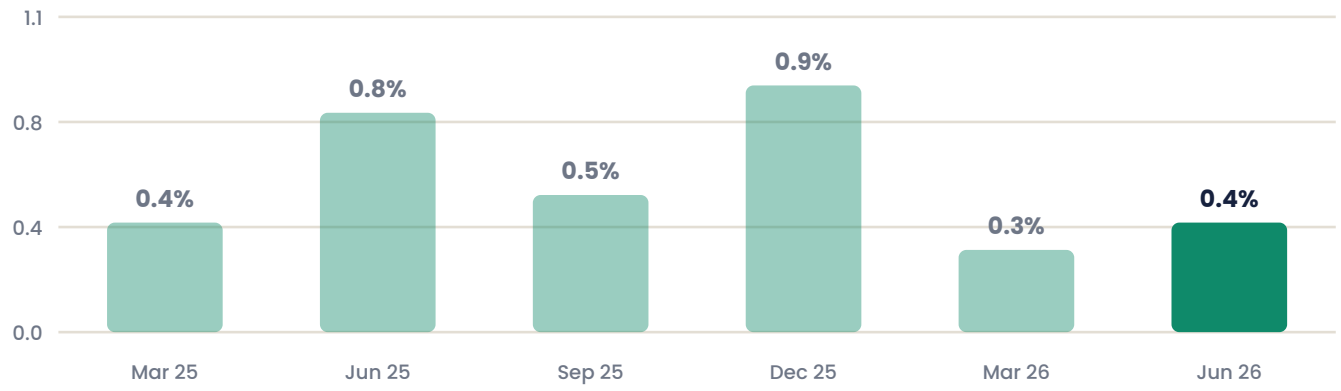
2.1%

June quarter 2025 to June quarter 2026

Full year 2025–26 **2.4%**

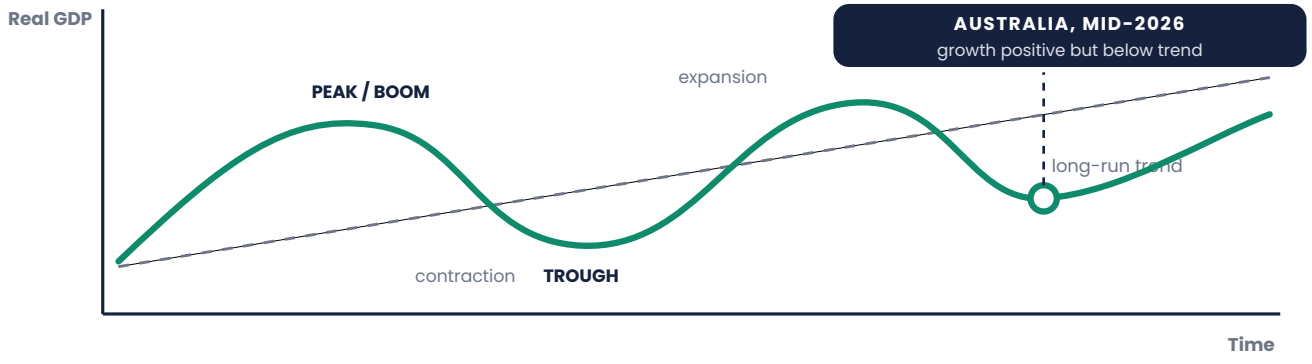
▼ below the long-run average of ~2.5%

QUARTERLY GDP GROWTH, SEASONALLY ADJUSTED (%)



The four pale bars from September 2025 on add to the 2.1% annual figure. Source: ABS, National Accounts, June quarter 2026 (released 2 September 2026).

WHERE AUSTRALIA SITS IN THE BUSINESS CYCLE



WHAT IT MEASURES

GDP is the total market value of all final goods and services produced in Australia in a period. Because it is measured in **chain volume** terms, the effect of price rises has been stripped out — this is **real** growth, not just bigger price tags. Australia's nominal GDP is now running at roughly **$3.0 trillion a year**.

WHAT THE NUMBERS ARE TELLING US

Growth of 0.4% in a quarter is positive but **below trend** (about 0.6% a quarter). Household spending rose just 0.4%, and GDP **per person** was flat in the quarter — the population grew about as fast as output, so the average Australian was no better off. That is the difference between an economy that is bigger and one that is richer.

EXAM LINK

Growth is the indicator that ties the course together. **Section III** asks how the federal budget **stabilises** the economy — and stabilisation only makes sense against the business cycle above. With growth below trend and unemployment drifting up, the case for an expansionary stance is exactly the argument the question wants you to weigh. Multiple choice on the **business cycle graph** and on the **circular flow** tests the same idea: when injections exceed leakages, real GDP rises.

INDICATORS TWO AND THREE

02 Inflation — headline and underlying

GOVERNMENT IN THE ECONOMY

HEADLINE INFLATION (CPI)

3.5%

12 months to July 2026

Previous month (June 2026) **3.8%**

▼ down 0.3 pts

UNDERLYING INFLATION (TRIMMED MEAN)

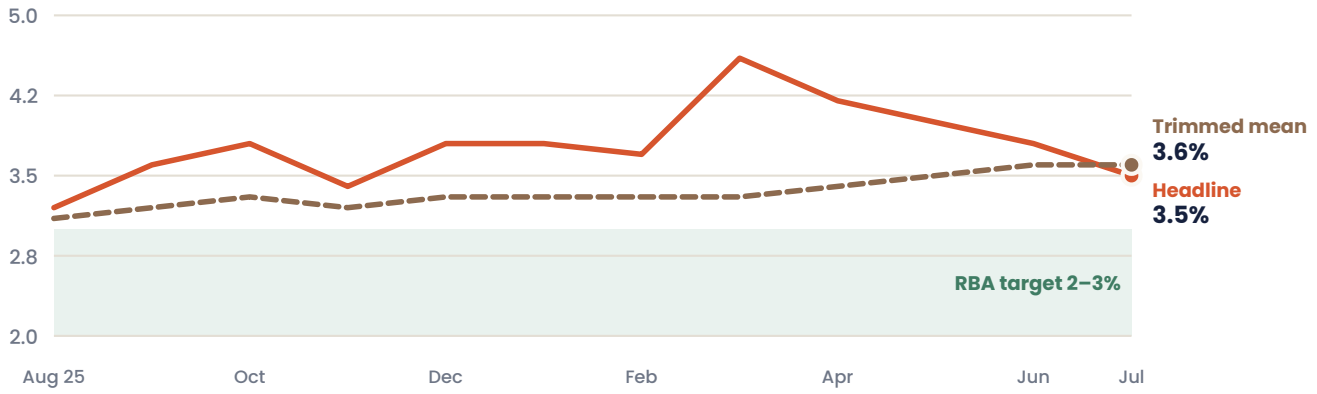
3.6%

12 months to July 2026

Previous month (June 2026) **3.6%**

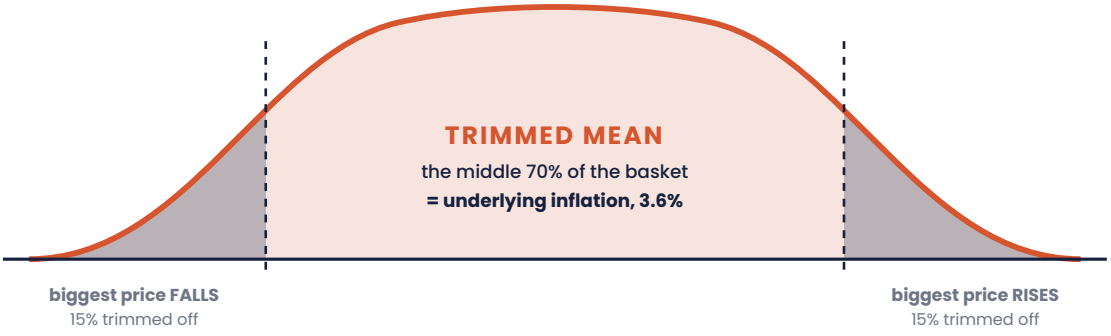
— unchanged

ANNUAL INFLATION VS THE RBA'S 2–3% TARGET BAND (%)



The March 2026 spike to 4.6% was largely the unwinding of electricity rebates — a classic reason headline and underlying diverge. Source: ABS, Monthly CPI Indicator, July 2026 (released 26 August 2026).

WHY THERE ARE TWO INFLATION RATES



HEADLINE CPI

3.5%

counts every item, volatile ones too

Every item in the CPI basket is ranked from the biggest price fall to the biggest price rise; the trimmed mean throws away the 15% at each end and averages what is left.

READING THE TWO RATES TOGETHER

Headline inflation is falling; underlying inflation is not. When the **trimmed mean sits above the headline rate**, the easing is being driven by a handful of volatile items rather than by a genuine cooling of price pressure across the economy. That is why the RBA watches the trimmed mean most closely — and why it has kept the cash rate high.

WHAT IS PUSHING PRICES UP

Housing +5.0% over the year — new dwellings +5.7%, rents +3.6% and electricity +6.1%. **Food +3.2%**, with meals out and takeaway up 4.5%. These are non-discretionary items, which is why inflation of 3.5% still feels much worse than that to households on low incomes.

EXAM LINK

Two things to get right. First, **definitions**: the headline CPI measures the change in the price of a fixed basket of goods and services bought by metropolitan households; the trimmed mean removes the 15% of items with the largest price rises and the 15% with the largest falls. Second, the **policy consequence**: inflation above the target band is why the cash rate rose three times in 2026, which is the starting point of every transmission-mechanism answer. Note too that the ABS now publishes the CPI **monthly**, not quarterly.

INDICATORS FOUR, FIVE AND SIX

03 The labour market

LABOUR MARKETS

UNEMPLOYMENT RATE

4.5%

July 2026, seasonally adjusted

June 2026 **4.4%**

▲ up 0.1 pts

UNDEREMPLOYMENT RATE

6.4%

July 2026, seasonally adjusted

June 2026 **6.4%**

▬ unchanged

PARTICIPATION RATE

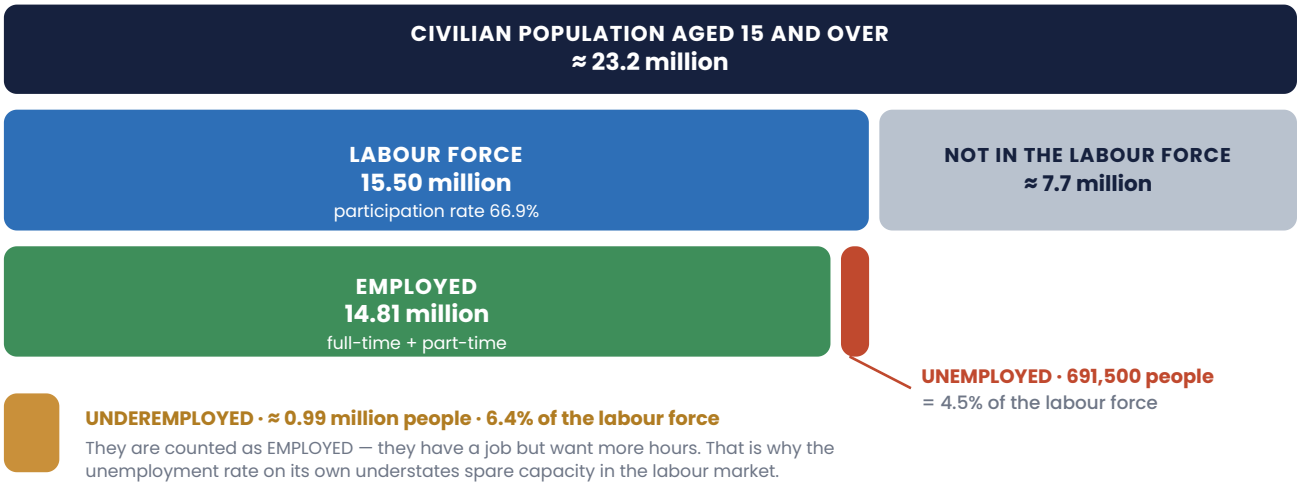
66.9%

July 2026, seasonally adjusted

June 2026 **67.0%**

▼ down 0.1 pts

HOW THE LABOUR FORCE DIVIDES UP, JULY 2026



Employment fell by 16,000 in July and the number of unemployed rose by 4,000. Source: ABS, Labour Force, July 2026 (released 13 August 2026).

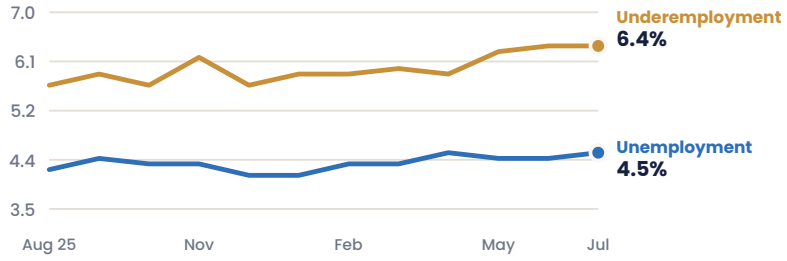
SPARE CAPACITY

Labour force underutilisation rate = 10.9%

4.5%	6.4%
Unemployed	Underemployed

More than **one worker in ten** is either without a job or without enough hours. Underutilisation is the broadest measure of slack in the labour market.

TWELVE MONTHS OF THE TWO RATES (%)



THE THREE DEFINITIONS

Unemployment rate = unemployed ÷ labour force. To be counted as unemployed you must be without work, **actively seeking** it and **available to start**. **Underemployment rate** = employed people who want more hours ÷ labour force. **Participation rate** = labour force ÷ civilian population aged 15+ (66.6–67.0% over the past year).

WHY PARTICIPATION MATTERS

A **falling** participation rate can hide weakness: people who give up looking become **discouraged workers**, leave the labour force, and stop being counted as unemployed — which pushes the unemployment rate *down* even though the labour market has weakened. Always read the two rates together.

EXAM LINK

Multiple choice regularly tests **discouraged workers** and the difference between a fall in employment and a fall in the labour force. For short answers, use the underutilisation figure: at **10.9%**, more than one worker in ten is either without a job or without enough hours — far stronger evidence of spare capacity than the 4.5% headline. It is also the link back to inflation: spare capacity in the labour market is what eventually brings wage and price pressure down.

INDICATOR SEVEN

04 The cash rate — monetary policy

FINANCIAL MARKETS

CASH RATE TARGET

4.35%

set 5 May 2026; held again on 11 August 2026

Before the last change **4.10%**

▲ up 0.75 pts across 2026

LOW POINT OF THE CYCLE

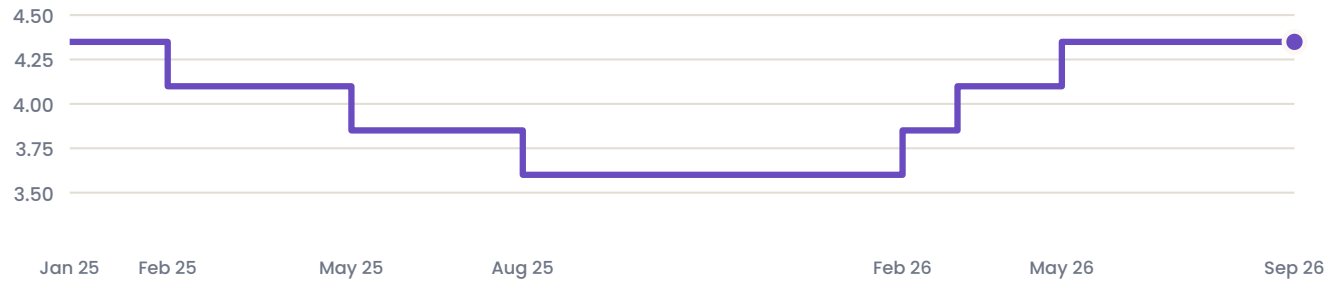
3.60%

August 2025, after three cuts during 2025

Three rises in 2026 **Feb · Mar · May**

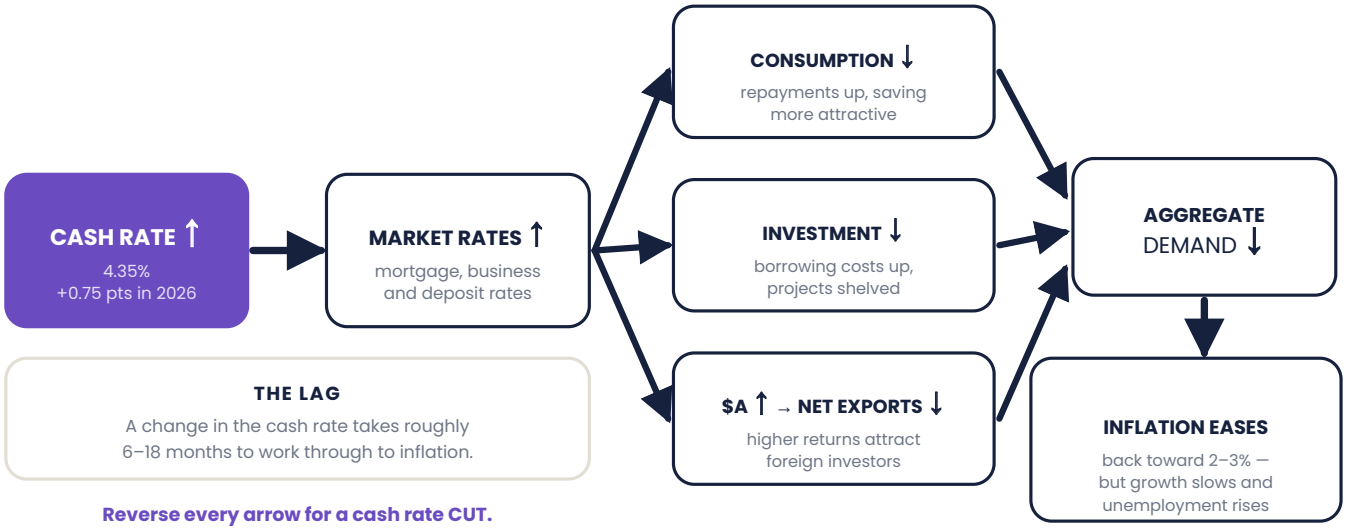
▲ policy is now contractionary

THE CASH RATE TARGET, 2025 TO TODAY (%)



Cut three times in 2025 as inflation fell, then raised three times in 2026 as it climbed back above the band. Source: RBA, Monetary Policy Decisions.

THE TRANSMISSION MECHANISM — HOW A RATE RISE REACHES YOU



Reverse every arrow for a cash rate CUT.

WHAT THE RBA IS DOING AND WHY

The Monetary Policy Board's job is to keep inflation between **2 and 3 per cent** on average, while supporting full employment. With the trimmed mean stuck at 3.6%, the Board judged that inflation would not return to target until **late 2027**, so it left rates at a restrictive level in August and kept the door open to raising them again.

THE COST OF TIGHTENING

Contractionary monetary policy works by **slowing aggregate demand** — and slower demand means slower growth and higher unemployment. That trade-off is visible right across this booklet: growth 0.4%, unemployment up to 4.5%, household spending weak.

EXAM LINK

This is the highest-value page in the booklet. You may be asked to explain the transmission of **an increase** in the cash rate — so learn the chain above in order: cash rate → market interest rates → consumption, investment, the exchange rate and asset prices → aggregate demand → inflation and employment. Two details lift an answer to full marks: name the **time lag** (6–18 months), and use the **exchange rate channel** — higher rates attract foreign investment, the $A appreciates, exports become dearer and imports cheaper.

INDICATORS EIGHT AND NINE

05 Wages and household behaviour

LABOUR MARKETS · CONSUMERS AND BUSINESS

NATIONAL MINIMUM WAGE

26.44/hr

$1,004.90 a week, from 1 July 2026

Previous rate (1 July 2025) **$24.95 · $948.00**

▲ up 6.0% — award rates up 4.75%

HOUSEHOLD SAVING RATIO

6.5%

June quarter 2026, of household disposable income

March quarter 2026 **6.4%**

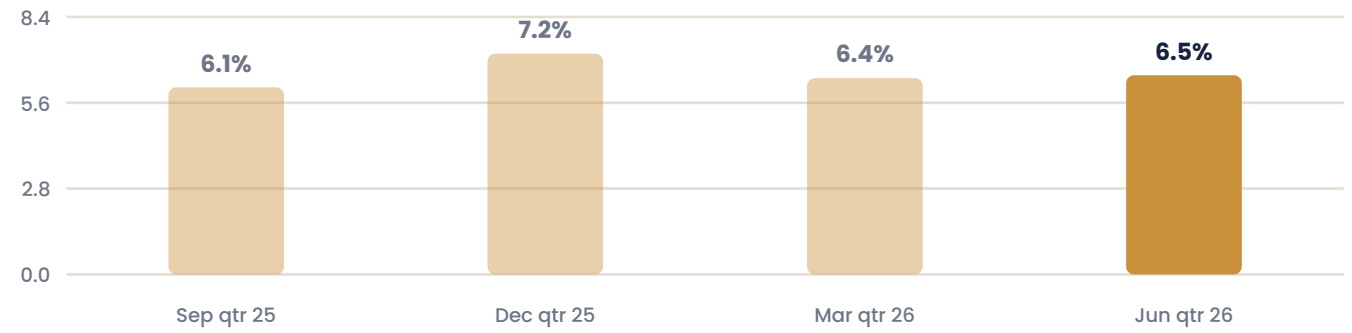
▲ up 0.1 pts

NOMINAL WAGE RISES VS INFLATION, 2026 (%)



With the minimum wage up 6.0% and prices up 3.5%, the **real** minimum wage rose about **2.4%** — the first solid real gain for award-reliant workers in several years. Source: Fair Work Commission, Annual Wage Review 2025–26; ABS CPI.

HOUSEHOLD SAVING RATIO (% OF DISPOSABLE INCOME)



Source: ABS, National Accounts, June quarter 2026. Before the pandemic the ratio sat near 5–6%; it peaked above 20% in 2020.

NOMINAL VS REAL WAGES

A pay rise is only a pay rise if it beats inflation. **Real wage growth ≈ nominal wage growth − inflation.** The Commission set the minimum wage increase deliberately above the CPI to rebuild purchasing power lost during the inflation surge. About 2.8 million workers are directly affected.

WHAT SAVING 6.5% TELLS YOU

The saving ratio is the share of disposable income households do **not** spend: **APS = S ÷ Y_d**, so the average propensity to consume is about **93.5%** (APC + APS = 1). It has crept up as higher interest rates raise the reward for saving and the cost of borrowing — a leakage from the circular flow that helps explain why consumption is so weak.

EXAM LINK

Three separate exam hooks live on this page. **Real wages** (a nominal rise minus inflation) and the role of the Fair Work Commission sit in Labour Markets. **APC and APS** — and the calculation APC + APS = 1 — sit in Consumers and Business, and are standard multiple-choice material. And **saving and interest rates** is a direct link back to page 5: when the cash rate rises, saving becomes more attractive, consumption falls, and the leakage from the circular flow grows.

INDICATORS TEN AND ELEVEN

06 The federal Budget — fiscal policy

GOVERNMENT IN THE ECONOMY

UNDERLYING CASH BALANCE

−$31.5b

2026–27 estimate, or −1.0% of GDP

2025–26 estimate **−$28.3b (−1.0%)**

▼ balance falls — deficit $3.2b wider

TAX RECEIPTS

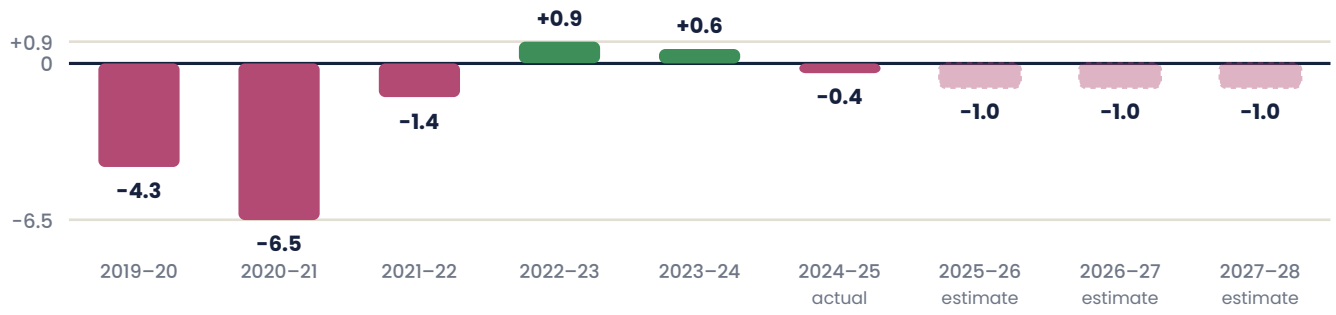
23.8% of GDP

2026–27 estimate ($737.1 billion)

2025–26 estimate **23.6%**

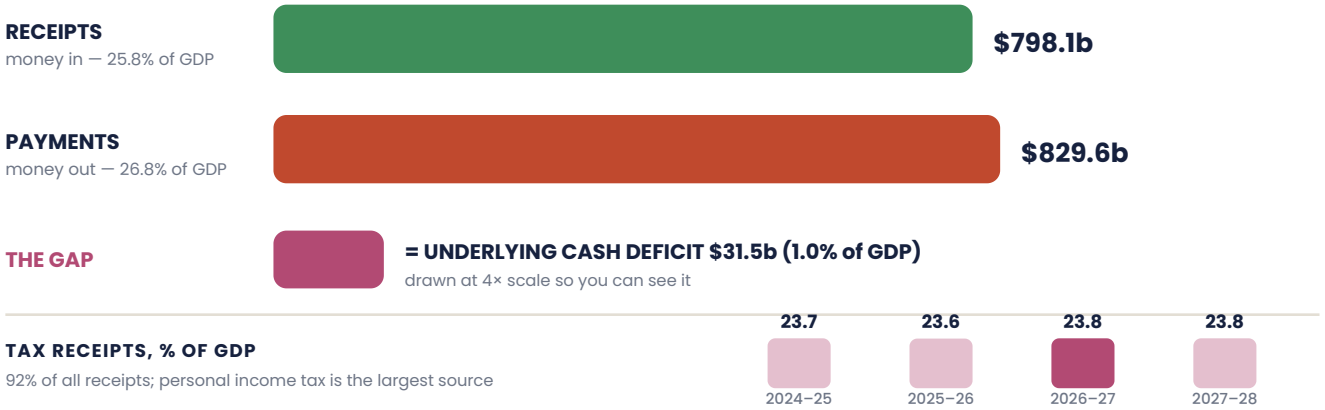
▲ up 0.2 pts

UNDERLYING CASH BALANCE, % OF GDP

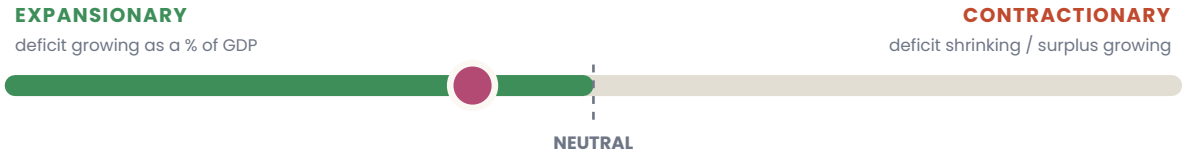


Solid bars are outcomes; dashed bars are Budget estimates. The last actual result is 2024–25: a deficit of $10.0 billion, or 0.4% of GDP. Source: 2026–27 Budget, Budget Paper No. 1, Statement 3 (12 May 2026).

MONEY IN, MONEY OUT — THE 2026–27 BUDGET



THE STANCE OF THE BUDGET



2026–27: mildly expansionary

deficit widens $28.3b → $31.5b, steady at 1.0% of GDP

EXAM LINK

This is your Section III page. Build a stabilisation answer around the circular flow: government spending (G) is an **injection**, taxation (T) a **leakage**, and the gap between them — the $31.5 billion deficit — is a net injection that supports aggregate demand, magnified by the **multiplier**. Distinguish **automatic stabilisers** (progressive income tax and unemployment benefits, which move with the cycle by themselves) from **discretionary policy**. Then judge the **stance**: with growth below trend and unemployment rising, a mildly expansionary Budget is countercyclical. Describing what the government spends money on, rather than how the Budget stabilises activity, caps a response.

REVISION

07 The whole dataset, on one page

ALL TOPICS

INDICATOR	CURRENT	PREVIOUS	TREND	PERIOD	SOURCE · RELEASED
Economic growth (GDP)	**0.4% (quarter) · 2.1% (year)**	0.3% (March quarter)	▲	June qtr 2026	ABS, National Accounts · 2 Sep 2026
Inflation — headline CPI	**3.5%**	3.8% (June 2026)	▼	Year to July 2026	ABS, Monthly CPI Indicator · 26 Aug 2026
Inflation — underlying (trimmed mean)	**3.6%**	3.6% (June 2026)	▬	Year to July 2026	ABS, Monthly CPI Indicator · 26 Aug 2026
Unemployment rate	**4.5%**	4.4% (June 2026)	▲	July 2026	ABS, Labour Force · 13 Aug 2026
Underemployment rate	**6.4%**	6.4% (June 2026)	▬	July 2026	ABS, Labour Force · 13 Aug 2026
Participation rate	**66.9%**	67.0% (June 2026)	▼	July 2026	ABS, Labour Force · 13 Aug 2026
Cash rate target	**4.35%**	4.10% (to 5 May 2026)	▲	Held 11 Aug 2026	RBA, Monetary Policy Decisions · 11 Aug 2026
National minimum wage	**$26.44/hr · $1,004.90/wk**	$24.95/hr · $948.00/wk	▲	From 1 July 2026	Fair Work Commission, AWR · 1 Jul 2026
Household saving ratio	**6.5%**	6.4% (March quarter)	▲	June qtr 2026	ABS, National Accounts · 2 Sep 2026
Budget — underlying cash balance	**−$31.5b · −1.0% of GDP**	−$28.3b · −1.0% (2025–26)	▼	2026–27 estimate	2026–27 Budget, BP1 Stmt 3 · 12 May 2026
Tax receipts as a share of GDP	**23.8%**	23.6% (2025–26)	▲	2026–27 estimate	2026–27 Budget, BP1 Stmt 3 · 12 May 2026

WORDS MARKERS LOOK FOR

Chain volume measure
GDP with the effect of price changes removed — i.e. real GDP.

Through the year
The change over the four most recent quarters combined, not just the latest one.

Trimmed mean
Underlying inflation: the CPI with the largest 15% of rises and falls removed.

Seasonally adjusted
Predictable seasonal patterns (harvests, holidays, school leavers) removed.

Discouraged worker
Someone who wants a job but has stopped looking, so is not counted as unemployed.

Underutilisation rate
Unemployment + underemployment: total spare capacity. Now 10.9%.

Cash rate
The interest rate on overnight loans between banks; the RBA's policy instrument.

Underlying cash balance
Receipts minus payments, adjusted for one-offs — the Budget bottom line.

Automatic stabiliser
A part of the Budget that offsets the cycle by itself: progressive tax, benefits.

Stance of the Budget
Expansionary or contractionary, judged by the change in the balance as a % of GDP.

FIVE SENTENCES WORTH MEMORISING

1. "Australian economic growth is **below trend**, at 0.4% in the June quarter 2026 and 2.1% through the year, with GDP per capita flat."
2. "Headline inflation has eased to **3.5%**, but underlying inflation of **3.6%** remains above the RBA's 2–3% target band."
3. "The RBA raised the cash rate three times in 2026 to **4.35%**; through the transmission mechanism this reduces consumption and investment, slowing aggregate demand."
4. "Labour market conditions have eased: unemployment is **4.5%** and underemployment **6.4%**, so underutilisation is **10.9%** of the labour force."
5. "The 2026–27 Budget forecasts a deficit of **$31.5 billion, or 1.0% of GDP** — a net injection into the circular flow that supports demand while growth is weak."

Sources. ABS, *Australian National Accounts: National Income, Expenditure and Product*, June quarter 2026 · ABS, *Monthly Consumer Price Index Indicator*, July 2026 · ABS, *Labour Force, Australia*, July 2026 · Reserve Bank of Australia, *Monetary Policy Decisions* and Statement by the Monetary Policy Board, 11 August 2026 · Fair Work Commission, *Annual Wage Review 2025–26* decision, effective 1 July 2026 · Australian Government, *2026–27 Budget*, Budget Paper No. 1, Statement 3: Fiscal Strategy and Outlook, 12 May 2026.

Please note. Budget figures for 2025–26 onwards are *estimates*, not outcomes; the 2025–26 Final Budget Outcome is due in late September 2026. Labour force and CPI figures are seasonally adjusted where available and are revised from time to time. Compiled 2 September 2026.